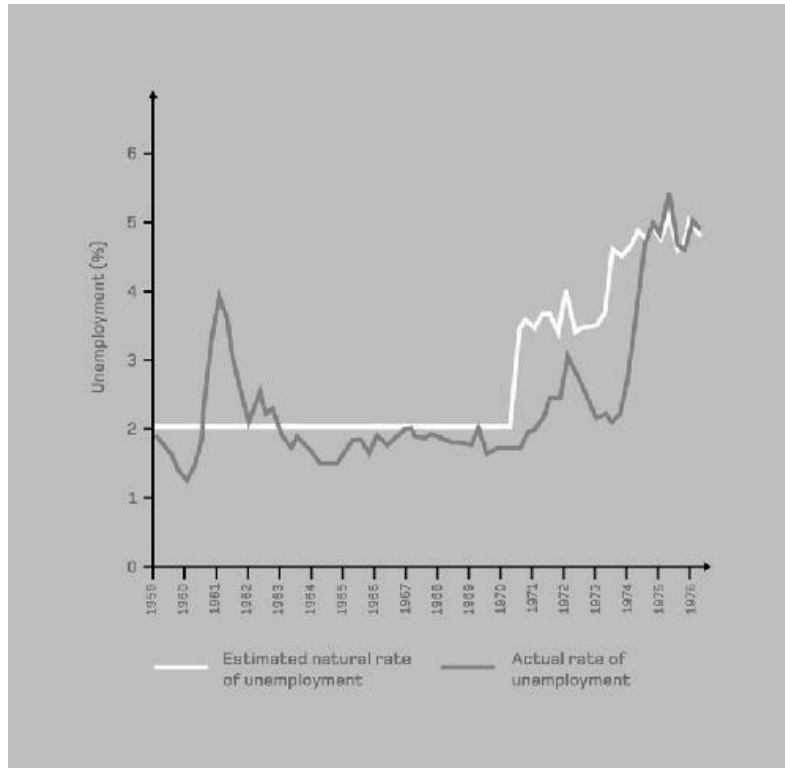


Hysteresis

Economists often think in terms of a natural rate of unemployment (see [The natural rate of output](#)) – a rate that corresponds to an economy's long-run level of output given its capital, the state of its technology and so on. The economy fluctuates around this natural rate: during a recession the rate of unemployment temporarily drops below it, and later reverts to it. Here, the natural rate is stable and is not affected by today's actual level of unemployment.

In a situation of 'hysteresis', this is no longer the case: high current unemployment pushes up the long-run natural rate. Unemployment is then more than just a short-term problem of idle resources – workers who will later get redeployed when the upturn arrives – it is much more serious, because it damages the economy's underlying productive capacity. One way in which this might happen is that when workers are unemployed for a length of time, their skills and motivation can deteriorate so much that they become unemployable.



In a hysteresis situation, the natural rate of unemployment rises with the actual rate of unemployment, as seen in this graph of Australian unemployment figures.